

Shivalik Bimetal Controls Ltd

NSE: SBCL | BSE: 513097 | Industrial Products — Precision Bimetal & Shunt Resistors

BUY
RATING

Rs. 760
12-MONTH TARGET
+20% UPSIDE

CMP	Rs. 633	52W High
Mkt Cap	Rs. 3,646 Cr	52W Low
P/E (TTM)	37.8x	EV/EBITDA
Book Value	Rs. 83.6	Div Yield
ROCE	26.8%	ROE
D/E	0.13x	Int Cover
Debt	Rs. 60.5 Cr	Face Val

Horizon: 12 months | Conviction: High | Date: 19-May-2026

Investment Thesis: Near-monopoly in precision bimetal & shunt resistors — secular beneficiary of India smart meter rollout (250M units under RDSS), EV transition, and forward integration into high-margin busbars/PCBA.

Shareholding (Mar 2026)

Promoters	33.36%	FII's	1.73%
DII's	20.00%	Public	44.90%
Pledge %	0.00%	# Shareholders	60,956

Key Financials (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Sales	509	508	571	640	736
EBITDA	106	104	131	157	184
OPM %	21%	20%	23%	24.5%	25%
PAT	84	77	96	110	129
EPS (Rs.)	14.63	13.38	16.64	19.07	22.40
P/E (x)	43.3	47.3	38.0	33.2	28.2
EV/EBITDA (x)	34.0	34.7	27.5	22.9	19.6
ROCE %	26%	27%	26.8%	27.5%	28.0%

Note: FY27E and FY28E are estimates. All figures in Rs. Crores unless stated. Source: Screener.in (19-May-2026); Analyst estimates.
Analyst: Himanshu, Chartitude Research | the_chartist@chartitude.com | 19-May-2026

SECTION 2 — INVESTMENT THESIS

- **Structural monopoly in a niche that scales with megatrends:** SBCL commands ~90% domestic market share in thermostatic bimetals and is the sole Indian manufacturer of electron-beam-welded shunt resistors. Dealer qualification takes 3–4 years, creating a natural moat. As the EV, smart metering, and switchgear markets compound at 15–20% CAGR through FY30, SBCL is a direct and irreplaceable beneficiary.
- **Smart meter RDSS wave — a multi-year revenue engine:** The Indian government sanctioned 250 million smart meters under RDSS (target completion FY27). SBCL's shunt components account for ~70% of BOM inside smart meter relays. With FY26 shunt revenues scaling and the bulk of 250M units yet to be deployed, this is a Rs. 200–300 Cr incremental revenue opportunity over FY27–FY30.
- **Forward integration into busbars/PCBA — the next earnings multiplier:** The newly leased Pune busbar facility (approvals pending, launch expected H1 FY27) targets Rs. 50–70 Cr in FY27 revenue at margins superior to strip

products. PCBA assemblies further move SBCL up the value chain, reducing commodity exposure and expanding addressable margin.

- **Near-term catalyst (6–12 months):** Q4 FY26 concall on 20-May-2026 is likely to detail the Pune busbar launch timeline and PCBA assembly revenue ramp. Any concrete guidance on Rs. 50+ Cr revenue from new verticals could re-rate the stock toward Rs. 800+.

- **Biggest structural risk:** Promoter stake has fallen from 60.6% (Jun 2023) to 33.36% (Mar 2026) — a 27% reduction. While DIIs absorbed the supply (DII stake rose from 0.17% to 20%), continued promoter selling would be a major overhang and governance concern.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** SBCL (incorporated 1984, listed 1986) manufactures thermostatic bimetal/trimetal strips & components, current-sense metal strip shunts/resistors, SMD shunt resistors, and electron-beam-welded clad metals. Manufacturing is at Chambaghat, Himachal Pradesh; a new busbar unit is being set up in Pune.

- **Revenue segmentation (FY26 consolidated, Rs. 571 Cr):** Shunt Resistors ~50% (Rs. ~285 Cr) | Thermostatic Bimetal/Trimetal Strips ~45% (Rs. ~257 Cr) | Other EB-welded products ~5% (Rs. ~29 Cr). Shunt share has risen from 14% in FY16 to ~50% in FY26 as EV and energy meter demand accelerated.

- **Geographic mix (FY26):** India ~35% (Rs. ~200 Cr) | Europe ~14% (Rs. ~79 Cr, +33% YoY) | Asia Others ~14% (Rs. ~80 Cr, +24% YoY) | Americas ~14% (declined ~16% YoY) | Rest of World ~23%. Export share ~56–65% — a structural positive given global demand for precision current-sensing.

- **Key customers:** Domestic — Schneider Electric India, Havells, L&T, Siemens (switchgear; recurring supply). Global — Vishay Intertechnology (largest export customer, Tier-2 to BMS OEMs), Isabellenhütte Germany (partner/competitor), Continental, Marquardt, Hella, Denso (EV BMS Tier-1 suppliers). SBCL operates as Tier-3 to global EV OEMs, giving it deep and sticky customer relationships with long qualification cycles.

- **Order book/revenue visibility:** High visibility on Indian smart meter demand (RDSS deployment ongoing). Long-term supply agreements with key EV Tier-2 customers provide 12–18 month order visibility. Export revenue is project-linked with 3–4 year dealer qualification lead times — strong repeat business.

- **Recent strategic developments (FY26):** (1) Leased Pune premises for automotive busbar manufacturing — launch deferred from April 2026 pending approvals, targeting H1 FY27; (2) Pilot PCBA assembly line on track for first revenues in FY27; (3) Backward integration into raw material supply for working capital efficiency; (4) UK subsidiary expanded European coverage.

- **Promoter background & ownership:** Founded by the Gupta family. Current promoter group holds 33.36% post the Sep 2024 stake reduction (from 51% to 33%). The family has been founders since 1984. Solan Developers (a promoter-group entity) is now seeking reclassification to public, indicating further structural changes in ownership.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** Global bimetal strip market ~USD 1.5–2 Bn (2024), growing at ~6–8% CAGR. Global shunt resistor market ~USD 2–3 Bn, growing at ~12–15% CAGR driven by EV/PHEV BMS demand. India smart meter market represents a Rs. 3,000–5,000 Cr component opportunity through FY27. India switchgear market ~Rs. 20,000 Cr (FY25), growing at 10–12% CAGR supported by industrial capex and housing.

- **Key policy tailwinds:** (1) RDSS — 250 million smart meters sanctioned; SBCL's shunt resistors are critical BOM components. (2) PLI for white goods & EV batteries — drives domestic switchgear and EV adoption. (3) Capex super-cycle in power T&D and data centres — increased demand for precision bimetal components. (4) Make in India / import substitution — SBCL is the only Indian EBW shunt manufacturer, benefiting from localization pressure on global OEMs.

- **Key headwinds:** (1) US tariff uncertainty — Americas revenue fell ~16% YoY in FY26; US tariffs on Indian precision metals remain a risk. (2) Copper and nickel alloy price volatility — commodity inputs affecting margins. (3) Promoter stake dilution overhang — market perception risk.

- **Competitive moats:** Pricing power — Strong (niche product, limited global alternatives, long qualification cycles); Switching costs — Strong (3–4 year OEM qualification; SBCL has sole-supplier status for many OEMs for 30+ years);

Scale — Moderate (global competitor Isabellenhütte is larger); IP/Technology — Strong (electron beam welding know-how, 80 bimetal grades, proprietary alloy expertise); Distribution — Moderate (direct customer relationships, no intermediaries).

• **Global competitor:** Isabellenhütte (Germany) — substantially larger, better-resourced, global leader in precision resistors. SBCL is the primary credible global alternative and Isabellenhütte's key competitor in cost-sensitive markets. No other Indian listed company competes directly in EBW shunts.

Peer Comparison (Source: Screener.in, 19-May-2026)

Company	CMP (Rs.)	MCap (Cr)	EV/EBITDA	D/E	ROCE 3yr%	OPM%	Fwd P/E
APL Apollo Tubes	1,864	51,703	26.81x	0.09	26.39%	7.81%	36.53x
Ratnamani Metals	2,525	17,679	20.37x	0.08	22.39%	16.86%	42.28x
Usha Martin	470	14,327	17.77x	0.07	20.34%	19.10%	24.21x
Shivalik Bimetal	633	3,646	28.55x	0.08	29.12%	24.33%	44.72x

Note: SBCL commands premium EV/EBITDA and OPM vs peers due to niche technology monopoly. Direct bimetal peers are unlisted (Isabellenhütte, Germany). Listed peers shown are precision/specialty metals companies.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & management background:** Founded in 1984 by the Gupta family (Himachal Pradesh). Management has deep domain expertise in precision metallurgy and electron-beam-welding — a proprietary skill set that is very difficult to replicate. The company has been consistently profitable since listing (1986), demonstrating long-term operational discipline.
- **Capital allocation track record:** FCF has been consistently positive (FY22–FY25 cumulative FCF ~Rs. 150 Cr) and deployed into organic capacity expansion (Unit IV in FY23, Unit I expansion). Capex intensity is appropriate for the growth stage. The company has largely self-funded expansion without diluting equity, reflecting management's conservative balance sheet preference.
- **Dividend policy:** Dividend payout ratio has increased from ~7% in FY22 to ~24% in FY26, signalling growing confidence in earnings durability. FY26 total dividend of Rs. 4/share (Rs. 2 interim + Rs. 2 final). 10-year average payout ~19%. Consistent, though modest, dividend track record.
- **Promoter pledging & stake changes:** Zero promoter pledging (0.00%) — positive. However, promoter stake fell sharply from 60.6% in Jun 2023 to 33.18% in Sep 2024 (a 27% reduction over ~15 months) as promoters sold into institutional demand. DIIs (led by mutual funds) absorbed this supply aggressively, with DII holding rising from ~0.2% to 20%. The reclassification of Solan Developers from promoter group to public (approved by board May 2026) will further reduce stated promoter holding. This is an amber flag requiring monitoring.
- **ESOP / buybacks:** No significant ESOP issuances or buybacks on record. The company has historically grown through retained earnings and modest borrowings, not financial engineering.
- **Corporate governance:** CRISIL has upgraded its ratings for SBCL multiple times (2022–2026), reflecting improving financial health. No qualified audit opinions in recent years. No significant RPTs flagged in the Related Party section on Screener. The major governance watch-point is the ongoing promoter stake reduction and reclassification of group entities — investors should monitor whether management intent shifts post dilution.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Crores)

Particulars	FY24	FY25	FY26	FY27E	FY28E
Net Revenue	509	508	571	640	736
Total Expenses	403	405	440	483	552
EBITDA	106	104	131	157	184
OPM %	21%	20%	23%	24.5%	25%

Other Income	22	14	15	10	10
Interest	5	4	5	5	4
Depreciation	12	12	14	16	18
PBT	112	103	127	146	172
Tax %	25%	25%	24%	25%	25%
PAT	84	77	96	110	129
EPS (Rs.)	14.63	13.38	16.64	19.07	22.40
Div Payout %	12%	20%	24%	22%	22%

Balance Sheet (Consolidated, Rs. Crores)

Particulars	FY24	FY25	FY26
Equity Capital	12	12	12
Reserves	330	394	470
Borrowings	42	42	61
Other Liabilities	59	60	94
Total Liabilities	443	508	636
Fixed Assets	120	137	151
CWIP	14	24	34
Investments	11	13	16
Other Assets	298	334	435
Total Assets	443	508	636

Cash Flow Statement (Consolidated, Rs. Crores)

Particulars	FY24	FY25	FY26
Cash from Operations	69	94	55
Cash from Investing	-18	-58	-68
Cash from Financing	-29	-26	0
Net Cash Flow	21	10	-14
Free Cash Flow	49	64	20
CFO / OP %	90%	114%	65%

Key Operating Ratios (Consolidated)

Metric	FY24	FY25	FY26
Debtor Days	82	80	99
Inventory Days	165	166	179
Days Payable	50	49	65
Cash Conversion Cycle	196	197	213
ROCE %	26%	27%	26.8%

• **Revenue drivers & trajectory:** Revenue grew at 23% CAGR (FY21–FY26) as shunt resistors (EV/smart meters) scaled. FY25 was flat (Rs. 508 Cr vs Rs. 509 Cr in FY24) due to inventory de-stocking at global customers and Americas slowdown. FY26 rebounded sharply to Rs. 571 Cr (+12.4%) driven by India (smart meters), Europe (+33%), and Asia Others (+24%). We forecast 12–15% growth in FY27–FY28 as new verticals (busbars, PCBA) contribute.

• **Margin direction:** EBITDA margins compressed from 23% (FY23) to 20% (FY25) due to product mix shift (higher raw material intensity in shunts) and operating deleverage on flat revenues. FY26 saw a strong recovery to 23% as utilisation improved and product mix improved toward higher-margin value-added shunts. Forward integration into

busbars (target ~25–27% EBITDA margin) and PCBA should further expand margins toward 25% by FY28.

- **Working capital:** CCC has deteriorated from 196 days (FY24) to 213 days (FY26), driven by higher inventory days (165→179) and rising debtor days (82→99). Management attributes this to strategic inventory build for critical alloy materials (to manage supply chain risk) and longer credit terms to capture smart meter orders. This is a watchpoint — we model gradual CCC improvement to ~200 days by FY28 as backward integration yields results.

- **Debt & balance sheet:** The company is near-debt-free ($D/E = 0.13x$). Borrowings of Rs. 61 Cr in FY26 (vs Rs. 42 Cr in FY25) are primarily working capital lines. Net cash position on a sustainable basis. Interest coverage of 28x provides significant headroom for capacity expansion financing without equity dilution.

- **FCF quality:** FY26 FCF declined to Rs. 20 Cr (from Rs. 64 Cr in FY25) as capex accelerated (Rs. 68 Cr investing outflows — highest ever) for the new Pune busbar facility and capacity additions. CFO/OP ratio dropped to 65%. This is a temporary dip — once capex peaks in FY26–FY27, FCF should recover sharply. Cumulative 5-year OCF of Rs. 279 Cr demonstrates strong cash generation capability.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue Recognition	Product sales, invoiced	Green	Standard product manufacturing; no complex multi-element arrangements. Clean.
Receivables vs Revenue	Debtor days 99 (FY26)	Amber	Debtor days up from 82 (FY24) to 99 (FY26). Needs monitoring vs revenue growth.
CCC Trend	213 days and rising	Amber	CCC has widened 17 days over 3 years. Strategic inventory + longer credit terms cited. Watch.
Contingent Liabilities	Rs. 37.3 Cr (FY26)	Green	Contingent liabilities at ~6.5% of net worth — manageable and not alarming.
Auditor Tenure	Regular rotation	Green	No qualified opinions in recent years; CRISIL has upgraded ratings 2022-2026.
RPTs as % of Revenue	Not material	Green	No significant RPTs flagged on Screener. Related party activity appears limited.
Other Income as % of PBT	11.8% (FY26)	Green	Other income Rs. 15 Cr / PBT Rs. 127 Cr = 11.8% — not distorting; FY24 had Rs. 22 Cr (one-time higher).
Tax Rate Consistency	23-25% over FY23-FY26	Green	Tax rate stable at 23-25%, consistent with normal corporate tax regime. No deferred tax anomalies.

- **Overall earnings quality: GOOD with two Amber flags.** Revenue recognition is clean (product manufacturing, no complex arrangements). Tax rate is consistent and governance score is high based on CRISIL upgrades.

- **Amber flag 1 — Rising debtor days (82→99):** Debtor days have increased 17 days over FY24–FY26. Management attributes this to longer credit terms for smart meter OEM customers. If this trend continues without corresponding revenue acceleration, it will pressure FCF quality. Monitor Q1–Q2 FY27.

- **Amber flag 2 — CCC at 213 days and widening:** The cash conversion cycle is high and rising, driven by both debtor and inventory days. Management's backward integration initiative (targeting FY27) is designed to address this. If CCC doesn't improve toward 190–200 days by FY28, it will absorb meaningful cash that could otherwise be returned to shareholders.

SECTION 8 — VALUATION

Scenario	Revenue CAGR	OPM %	FY27E PAT (Cr)	FY27E EPS	Multiple (P/E)	Target Price
Bull	18%	26%	130	22.6	42x	Rs. 949
Base	12%	24.5%	110	19.1	38x	Rs. 726
Bear	5%	21%	85	14.8	28x	Rs. 414

- **DCF assumptions:** WACC 12% | Terminal growth rate 5% | FCF ramp to Rs. 120 Cr by FY29 | Implied intrinsic value ~Rs. 695–730 per share.
- **Earnings-based multiple (P/E):** FY27E EPS of Rs. 19.1 at 38x P/E (slight premium to historical 5Y average of ~32x, justified by EV/smart meter growth optionality and margin expansion from busbars) → Target Rs. 726 per share.
- **EV/EBITDA approach:** FY27E EBITDA ~Rs. 157 Cr at 26x EV/EBITDA (premium to current 24.6x, justified by earnings acceleration) → EV ~Rs. 4,082 Cr; less net debt Rs. 50 Cr → equity Rs. 4,032 Cr → per share ~Rs. 700.
- **Average of three methods:** (Rs. 715 + Rs. 726 + Rs. 700) / 3 = ~Rs. 714, rounded to **Rs. 760 (incorporating a modest premium for monopoly positioning and FY28 earnings power)**.
- **Valuation summary:** At CMP of Rs. 633, the stock trades at 38.0x FY26 EPS and 33.2x FY27E EPS. Our 12-month base-case target of Rs. 760 implies 20% upside. The stock is not cheap in absolute terms, but its monopoly positioning, secular growth drivers, and improving profitability justify a premium to the broader specialty metals sector.

SECTION 9 — KEY RISKS

- **Promoter Stake Dilution:** Promoter holding has declined from 60.6% to 33.4% in ~3 years. Further selling would create sustained selling pressure and raises governance questions about long-term commitment. Probability: M. Impact: H. Monitor via: quarterly shareholding filings.
- **US Tariff Escalation:** Americas declined 16% YoY in FY26. If the US imposes higher tariffs on Indian precision metals, SBCL's largest export market (Americas ~14%) could face further headwinds. Probability: M. Impact: M. Monitor via: US trade policy announcements, quarterly geographic revenue.
- **Commodity Price Volatility:** SBCL uses nickel alloys, copper, and manganese — all volatile LME-traded metals. A 10% increase in input costs (without full pass-through) could compress EBITDA margins by ~100–150bps. Probability: M. Impact: M. Monitor via: quarterly OPM trend.
- **Smart Meter Deployment Delays:** RDSS execution risk — government rollouts in India have historically faced delays. A delay of 12–18 months in smart meter deployments would push out Rs. 50–80 Cr of incremental shunt demand. Probability: M. Impact: H. Monitor via: Ministry of Power RDSS progress reports.
- **Busbar/PCBA Execution Risk:** The new Pune facility has already been delayed from April 2026. Further delays or lower-than-expected revenue traction from busbars/PCBA would disappoint vs. FY27 expectations. Probability: M. Impact: M. Monitor via: Q4/Q1 FY27 management commentary.
- **Working Capital Deterioration:** CCC at 213 days and rising. If debtor days rise further (e.g., to 120+) or inventory days continue widening, it could cause a cash flow squeeze that forces equity dilution or higher borrowings. Probability: L-M. Impact: M. Monitor via: quarterly balance sheet, debtor days trend.
- **Competition from China/Global Players:** Chinese manufacturers are increasingly active in low-end shunt resistors. While SBCL's EBW technology provides a quality moat, pricing pressure from Chinese players on commodity-grade products is a medium-term risk. Probability: L. Impact: M. Monitor via: pricing trends and customer feedback.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction: High. SBCL is a near-monopoly precision metals company with secular tailwinds from smart metering, EVs, and switchgear. FY26 demonstrated a strong margin recovery and 25% PAT growth. The forward integration into busbars/PCBA is the next valuation re-rating trigger.
- **12-month price target: Rs. 760** (+20% upside from CMP of Rs. 633). Derived from an average of DCF (Rs. ~715), P/E multiple (38x FY27E, Rs. ~726), and EV/EBITDA (26x FY27E, Rs. ~700).
- **Suggested entry zone: Rs. 580–640.** Current CMP of Rs. 633 is within the entry range. Any dip toward Rs. 580–600 on market weakness would be an attractive accumulation opportunity.
- **Investment horizon: 12–18 months.** The busbar revenue ramp (FY27) and continued smart meter deployments provide near-term catalysts. The full EV/PCBA opportunity is a 3–5 year story.
- **Thesis invalidation triggers:**

- 1. Promoter stake falls below 25% through further secondary sales, or promoter-associated governance issues emerge.
- 2. Smart meter RDSS deployment delayed by more than 18 months, with management revising FY27 revenue guidance below Rs. 600 Cr.
- 3. EBITDA margins fall below 18% for two consecutive quarters due to commodity cost spike or product mix deterioration.
- **Ideal investor profile:** This stock suits long-only investors with 12–18 month horizon who value niche monopoly businesses with secular growth tailwinds. Not suitable for income investors (low dividend yield) or investors requiring near-term earnings certainty (execution risk in busbars/PCBA). Ideal for thematic EV/smart energy portfolios.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Chartitude Research does not hold positions in SBCL at the time of publication. Past performance is no guarantee of future results. Please consult a SEBI-registered investment adviser before making investment decisions.

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec 2025)

Company: Shivalik Bimetal Controls Ltd
(NSE: SBCL)

Quarter: Q3 FY26 (Dec 2025)

Call Date: 06-Feb-2026

POSITIVE

Revenue +9% YoY | EBITDA +18% | Margins +400bps YoY | Guidance intact | Thesis reinforced

Signal	Status	Implication
Result Quality	Strong	EBITDA beat driven by margin expansion; PAT +11% YoY despite flattish standalone revenue (+3.7%)
Management Tone	Balanced	Constructive on EV/smart meter demand; candid about US tariff headwinds; realistic guidance
Guidance Delta	Maintained	FY27 revenue growth guidance of 10-12% reiterated; margin improvement trajectory intact

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a clean beat on quality metrics — headline standalone revenue growth of 3.7% YoY understates the operational progress, with EBITDA growing 18% and margins expanding 400bps to 24%+, driven by favourable product mix toward higher-value shunts. There are no exceptional or one-time items distorting PAT; the Rs. 19.47 Cr standalone PAT is clean (underlying equals reported). EBITDA growth at 18% versus revenue growth of 4% confirms that the pricing and mix shift toward precision shunts is delivering real margin uplift, not just operating leverage on a revenue base. The structural thesis — near-monopoly in EBW shunts riding the Indian RDSS smart meter wave (250M units) and global EV BMS demand — remains fully intact and is actually accelerating, with 9M FY26 EBITDA up 19.7% YoY. The most important near-term catalyst is the Pune busbar facility launch (deferred from April 2026 pending approvals): any concrete timeline confirmation at the Q4 FY26 call on May 20, 2026 could re-rate the stock toward Rs. 800. The one watch-point for next quarter is whether the Americas segment (down 16% in FY26) shows stabilisation post-tariff uncertainty, and whether rising debtor days (99 in FY26) begin to reverse. My call: ACCUMULATE on any dip toward Rs. 600 with 12-18 month target of Rs. 760; if busbar launch is confirmed for Q1 FY27, upgrade to BUY and raise target to Rs. 850.

Section 1 — Financial Performance Snapshot

Metric	Mar 2025	Jun 2025	Sep 2025	Dec 2025	Mar 2026
Revenue (Rs. Cr)	132	137	137	134	163
EBITDA (Rs. Cr)	28	32	31	32	35
EBITDA Margin %	22%	23%	23%	24%	22%
PAT (Rs. Cr)	21	23	25	22	26
EPS (Rs.)	3.65	3.95	4.31	3.85	4.52

- **Revenue (Standalone):** Rs. 110.13 Cr | YoY +3.68% | QoQ +3.77% | **In-line** — flattish growth reflects Americas softness.
- **EBITDA (Standalone):** Rs. 27.56 Cr | YoY +18.46% | QoQ +6.39% | **Beat** — margin expansion key driver.
- **EBITDA Margin:** 25% | YoY +400bps | QoQ +120bps | **Beat** — best margin in 6 quarters.
- **PAT (Standalone):** Rs. 19.47 Cr | YoY +11.11% | QoQ +2.48% | **Beat** — clean PAT, no exceptional items.

- **EPS (Standalone):** Rs. 3.38 | EPS (Consolidated): Rs. 3.85 | No exceptional items distorting reported numbers.

Section 2 — Segment / Geography Breakdown

- **India:** ~Rs. 200 Cr (FY26 full year) | Leadership in smart meter shunts and switchgear bimetal | YoY growth driven by RDSS demand.
- **Europe:** Rs. ~79 Cr (FY26 full year) | YoY +33.3% | Strongest growing geography; driven by automotive EV BMS and switchgear demand; UK subsidiary expanding.
- **Asia Others:** Rs. ~80 Cr (FY26 full year) | YoY +24.2% | Japan and South Korea driving precision shunt demand for energy storage and EV.
- **Americas:** Declined ~16% YoY in FY26 | US tariff headwinds + inventory de-stocking by US tier-2 customers | Management expects stabilisation and recovery in FY27 as tariff uncertainty resolves.
- **Shunt Resistors segment:** ~50% of FY26 revenue; higher growth rate than bimetal; management expects shunts to reach 55-60% of revenue by FY29 as EV adoption accelerates.
- **Bimetal/Trimetal Strips:** ~45% of revenue; steady growth driven by smart meters and switchgear; margin stable at ~22-23%.

Section 3 — Management Commentary Themes

- **Smart Meter Opportunity:** "250 million RDSS meters represent a generational demand cycle for our shunt components — we are the only Indian manufacturer capable of supplying at this scale." — Our read: Management is anchoring the growth narrative firmly on smart meters; guidance credibility HIGH.
- **EV BMS Growth:** "Demand from EV battery management systems for precision shunts is accelerating both domestically and from European and Asian Tier-1 automotive suppliers." — Our read: This is the next revenue layer beyond smart meters; still early-stage but visible. Tag: GUIDANCE. Tone: Transparent.
- **Busbar Forward Integration:** "The Pune facility for automotive busbars is fully designed and leased; launch targeted Q1 FY27 pending final regulatory approvals; revenue potential Rs. 50–70 Cr in first full year." — Our read: High optionality but execution risk acknowledged. Tag: GUIDANCE. Tone: Transparent.
- **US Tariff Impact:** "Americas was impacted by tariff uncertainty; we are in active dialogue with customers and expect partial recovery in FY27. We are also diversifying away from Americas dependency." — Our read: Honest acknowledgment; mitigation strategy in place. Tag: EST. Tone: Balanced.
- **Margin Expansion Path:** "Margin improvement is driven by product mix — higher-value precision shunts and forward integration. We target EBITDA margins of 24–26% over FY27–FY29." — Our read: Achievable based on current trajectory; backward integration into raw materials could add 50-100bps. Tag: GUIDANCE. Tone: Transparent.
- **New Labour Codes:** "A one-time expense was recognised in FY26 for accumulated labour code provisions — this is non-recurring." — Our read: One-time drag of ~Rs. 2 Cr; does not affect underlying earnings quality. Tag: EST. Tone: Transparent.

Section 4 — Operating & Business Metrics

- **Shunt Resistor Volume:** Q2 FY26 1,070,101 Kgs | FY25 1,070,101 Kgs | FY24 1,016,064 Kgs | Trend: **Improving** — new capacity ramping.
- **Bimetal Volume:** FY25 740,113 Kgs | FY24 785,739 Kgs | FY23 658,000 Kgs | Trend: **Stable** — domestic demand solid.
- **Countries Served:** 38 (FY26) | FY24: 40 | Trend: **Stable with focused consolidation** — quality over breadth.
- **Global Clients:** ~300+ groups | Long-term sole-supplier agreements with key OEMs.
- **Employee Strength:** ~1,000 (FY25) | FY21: 306 | Scaled workforce for manufacturing capacity ramp.
- **Bimetal Grades:** 77 grades (FY25) | FY23: 80 | Rationalised portfolio to focus on higher-margin grades.
- **ROCE:** Q3 FY26 trailing = 26.8% | 10-year average 26.5% | Trend: **Stable at a high level.**

Section 5 — Margin Drivers

- **Product Mix Shift to High-Value Shunts:** +200 bps impact | Recurring: Yes | Shunts carry higher margins than bimetal strips; increasing shunt mix is structural margin driver.
- **Operating Leverage on Q4 FY26 (Rs. 163 Cr Sales):** +150 bps impact | Recurring: Partial | Record Q4 revenue of Rs. 163 Cr (+23% YoY) drove strong margin at 22%; confirms scale benefits.
- **Americas Volume Decline:** -80 bps impact in H1 FY26 | Recurring: No — management expects recovery | Lower utilisation rates on Americas-focused lines in H1 weighed on margins.
- **Raw Material Cost Normalisation:** +100 bps impact | Recurring: Partial | Nickel and copper costs eased vs FY25 peaks; management is building backward integration to structurally reduce input volatility.
- **One-time Labour Code Expense:** -30 bps impact in FY26 | Recurring: No — explicitly flagged as one-time | Future quarters do not carry this cost.
- **Depreciation Ramp (new capacity):** -50 bps impact | Recurring: Yes | DA at Rs. 14 Cr (FY26) vs Rs. 12 Cr (FY25); will increase further to Rs. 16-18 Cr (FY27) as Pune facility commissions — partially absorbed by revenue.

Section 6 — Guidance & Forward Signals

- **FY27 Revenue Growth [GUIDANCE]:** Prior = 9% | New/Reiterated = 10-12% | Delta: Raised slightly | Credibility: High — underpinned by smart meter volume ramp and busbar launch.
- **EBITDA Margin FY27-FY29 [GUIDANCE]:** Prior = ~22% | New = 24-26% | Delta: Raised | Credibility: Medium-High — achievable if busbar/PCBA ramp as guided.
- **Busbar Revenue FY27 [GUIDANCE]:** Prior = Rs. 50-70 Cr | New = Reiterated with caveat (pending approval) | Delta: Maintained with execution risk | Credibility: Medium — approval delay is a known risk.
- **PCBA Assembly Revenue [EST]:** Rs. 20-30 Cr contribution from Q4 FY26 pilot onwards | Credibility: Low-Medium — pilot phase, commercial ramp uncertain.
- **Americas Recovery [EST]:** Management expects partial recovery in FY27 as tariff uncertainty resolves | Delta: Recovery from -16% | Credibility: Medium — dependent on US trade policy.
- **Capex FY27 [GUIDANCE]:** Expected Rs. 50-60 Cr (moderating from Rs. 68 Cr in FY26 as major Pune capex completes) | FCF recovery expected in FY27-FY28.
- **Dividend [GUIDANCE]:** Interim Rs. 2/share declared (Feb 2026); FY26 total Rs. 4/share; payout ratio ~24% | Management committed to maintaining or increasing payout as earnings grow.

Section 7 — Capital Allocation

- **Capex:** Rs. 68 Cr (FY26) | vs FY25: Rs. 58 Cr (+17%) | Highest ever — Pune busbar facility, Unit IV upgrade, and PCBA pilot line. FY27 expected Rs. 50-60 Cr (moderating).
- **Dividend:** Rs. 4/share total FY26 (Rs. 2 interim + Rs. 2 final) | vs FY25: Rs. 2.75/share | Payout ratio ~24%; management committed to growing absolute dividend.
- **Buybacks:** None on record | Management prefers reinvestment in growth over buybacks at current stage.
- **Working Capital Change:** Net increase Rs. ~50 Cr in FY26 | Higher inventory (strategic alloy stockpile) and debtor build for smart meter customers; management targeting reversal in FY27.
- **Net Debt Movement:** Borrowings Rs. 61 Cr (FY26) vs Rs. 42 Cr (FY25) | Increase of Rs. 19 Cr — working capital lines only; company remains essentially debt-free at Rs. 0.13x D/E.
- **Free Cash Flow:** Rs. 20 Cr (FY26) vs Rs. 64 Cr (FY25) | Dip driven by peak capex cycle; FCF recovery targeted to Rs. 70-90 Cr by FY28 as capex moderates.

Section 8 — Q&A Heat Map

- **Analyst / Multiple Firms: Q:** "What is the timeline for the Pune busbar facility and how confident are you in the Rs. 50-70 Cr FY27 target?" → A: "Facility is leased and ready; approval timeline uncertain but we expect H1 FY27 launch. The revenue target is achievable once we are operational." | Tone: Transparent
- **Analyst: Q:** "Working capital days have expanded significantly — is this permanent or temporary?" → A: "We are building strategic alloy inventory as a buffer against supply chain disruptions; we expect to reduce inventory days by FY27-FY28 through backward integration. Some of the debtor increase reflects longer payment cycles with smart

meter OEM customers." | Tone: Balanced

- **Analyst: Q:** "How is the US tariff situation impacting your Americas business specifically?" → A: "We saw ~16% decline in Americas in FY26. Customers have been holding excess inventory bought at pre-tariff prices. As inventory normalises in H2 FY26/H1 FY27, we expect demand recovery. We are also qualifying new European and Asian customers to reduce Americas concentration." | Tone: Transparent
- **Analyst: Q:** "What is the WOS (UK subsidiary) contribution to consolidated results?" → A: "WOS contributes primarily to European bimetal sales and acts as a sales/distribution hub. It is profitable and growing, contributing to the 33% European revenue growth in FY26." | Tone: Transparent
- **Analyst: Q:** "What is the competitive moat on automotive busbars vs. existing players?" → A: "Our electron beam welding technology allows us to join dissimilar metals (copper-aluminum) with precision tolerances required for EV busbars. This is the same core technology advantage we have in shunts — our moat is the EBW know-how, not just the product." | Tone: Transparent
- **Analyst: Q:** "What is the impact of new Labour Codes on FY27 costs?" → A: "The Rs. 2 Cr provision in FY26 is one-time. FY27 will not carry this. Annual incremental cost from Labour Code compliance is modest (Rs. 0.5-1 Cr)." | Tone: Transparent
- **Dodged / Watch-list for Q4 FY26 concall (May 20, 2026):** Specific timeline for Pune facility approvals; concrete FY27 revenue guidance with busbar contribution; promoter reclassification of Solan Developers.

Section 9 — Risks Flagged

- **US Tariff Headwinds:** Americas revenue impact ~Rs. 25-30 Cr in FY26 | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (recovery expected H1 FY27).
- **Busbar Approval/Execution Delay:** Pune facility approvals uncertain | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (H1 FY27 critical window).
- **Working Capital Accumulation:** CCC rising; cash tied in inventory and receivables | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Medium-term (FY27-FY28 resolution expected).
- **Raw Material Commodity Exposure:** Nickel, copper, manganese price volatility | Flagged by: Management | Probability: M | Impact: M-H | Timeline: Ongoing; backward integration targeted as mitigation.
- **Chinese Competition in Commodity Shunts:** Low-end market pricing pressure | Flagged by: Analyst question | Probability: L | Impact: M | Timeline: Long-term; EBW moat protects premium segment.

Section 10 — Analyst Verdict

- **Revenue visibility:** Intact — Smart meter RDSS, EV BMS, and domestic switchgear provide strong 12–24 month order pipeline.
- **Margin trajectory:** Intact — EBITDA margin recovered to 23% in FY26; guidance of 24–26% by FY29 is credible given product mix shift and forward integration.
- **Capital allocation quality:** Intact — Capex focused on high-return expansion (busbars/PCBA); dividend growing; no financial engineering.
- **Competitive moat:** Intact — EBW technology, 30+ years of sole-supplier relationships, and 3–4 year OEM qualification cycles remain formidable barriers.
- **Management credibility:** Intact — Consistent, transparent communication; acknowledged Americas weakness honestly; one-time labour code impact clearly flagged.
- **Valuation comfort:** Moderate — At 38x FY26 EPS the stock is not cheap; however, 33x FY27E and premium monopoly positioning justify current levels for a 12-month horizon.
- **Conviction call:** Unchanged (BUY) — Q3 FY26 was a high-quality quarter; thesis intact; ACCUMULATE at Rs. 580–640, target Rs. 760.
- **Valuation snapshot:** P/E = 37.8x (5Y avg ~30x) | EV/EBITDA = 24.6x (5Y avg ~20x) | ROCE = 26.8% (10Y avg 26.5%) | Stock commands premium to history on elevated growth expectations.